



Business Analysis & Valuation
InterGlobe Aviation Ltd.

Company Overview

Introduction

InterGlobe Aviation Ltd. (hereinafter referred as “The Company”), operating as IndiGo, is India’s largest airline by domestic passenger market share. Founded in 2004 and headquartered in Gurugram, the company commenced operations in 2006. IndiGo follows a low-cost carrier model focused on affordable fares, operational efficiency, and reliable service. As of December 2025, the airline operates approximately 440 aircraft, connecting 96 domestic and 44 international destinations. Its core business includes passenger transportation, cargo services, and ancillary services. In FY2025-26, IndiGo reported total revenue of ₹849,619.00 million and a loss after tax of ₹(23,936.00) million. The company benefits from a young, fuel-efficient fleet and significant economies of scale. With a large aircraft order book and expanding international network, IndiGo aims to further strengthen its market position.

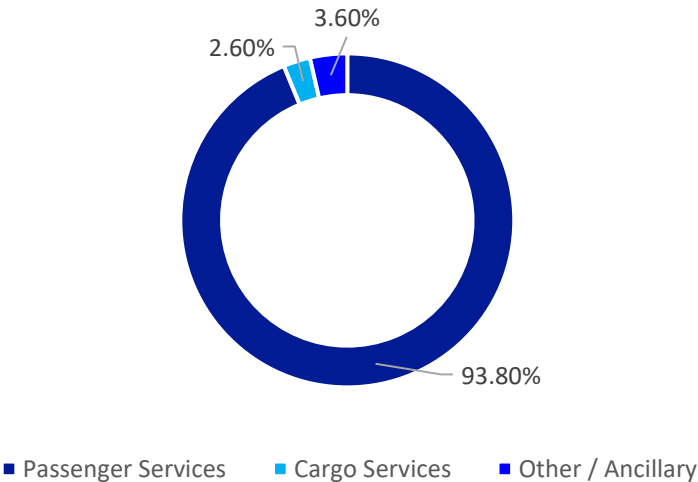
Business Presence

IndiGo is India’s largest airline by domestic passenger market share, operating an extensive network across India. As of December 2025, it connects 96 domestic and 44 international destinations with a fleet of around 440 aircraft. Its core business includes passenger transportation, cargo, and ancillary services. The company is also expanding its international footprint through strategic partnerships and long-haul operations.

Key Products & Services

IndiGo’s primary offering is domestic and international passenger air transportation, connecting customers across a wide network of destinations. The company also provides cargo transportation through IndiGo Cargo. Its ancillary services include seat selection, meals, excess baggage, and priority services, providing additional revenue streams. IndiGo is also expanding its international and long-haul services to strengthen its global connectivity.

Key Product & Services



Share Price Performance

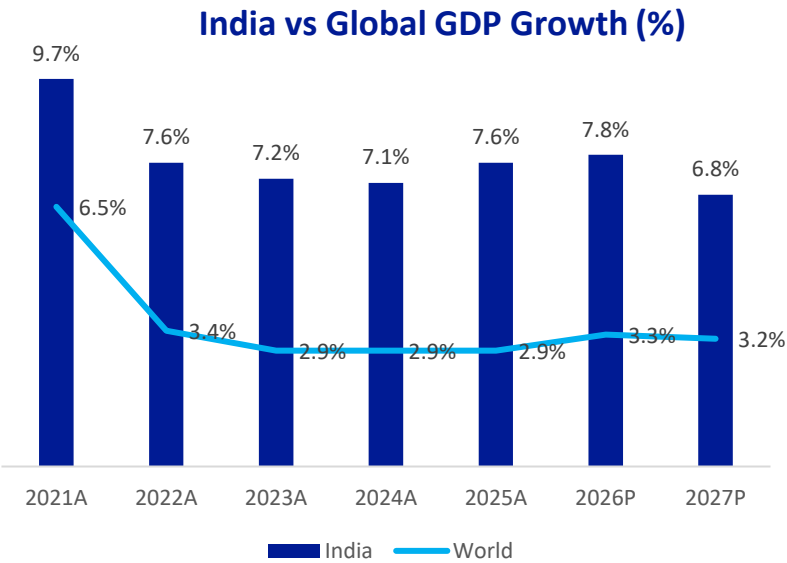


Economy Overview

Global Economy

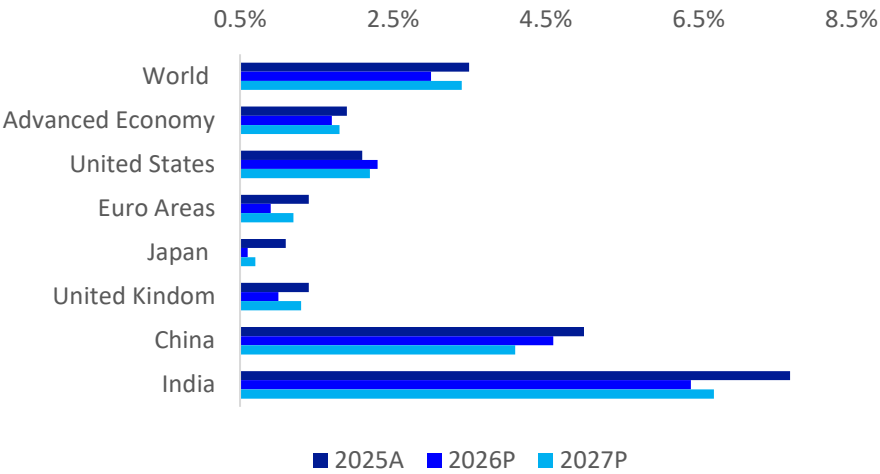
The global economy remains resilient despite geopolitical tensions and trade uncertainties. Global GDP growth is projected at around 3.1% in 2026, with emerging markets growing faster than advanced economies. Growth is supported by consumer spending, investment, technology and digitalization, while inflation, energy prices and higher interest rates remain key risks. Geopolitical conflicts and changing trade policies continue to affect global supply chains and business confidence. Rising crude oil prices can increase operating costs, particularly for fuel-intensive industries such as aviation. Overall, moderate global growth should support international travel demand and passenger spending, although fuel price volatility and supply chain disruptions remain key risks for airlines.

Source: IMB WEO



Source: IMB WEO

World Economic Outlook Projection (%)



Source: IMB WEO

Indian Economy

India remains one of the fastest-growing major economies, with GDP growth projected at around 6.5% in FY2026. Growth is supported by strong domestic consumption, public investment and infrastructure development. Gross Fixed Capital Formation remains around 30% of GDP, reflecting healthy investment activity. Government initiatives focused on manufacturing, logistics and digitalization are strengthening domestic supply chains. Easing inflation and supportive monetary policy are expected to support consumption and private investment. Fiscal consolidation and a declining debt-to-GDP ratio further strengthen macroeconomic stability. For aviation, rising incomes, improving connectivity and expanding business activity are expected to drive higher passenger demand and air travel.

Source: IndiGo Annual Report 2025-26

Aviation Overview

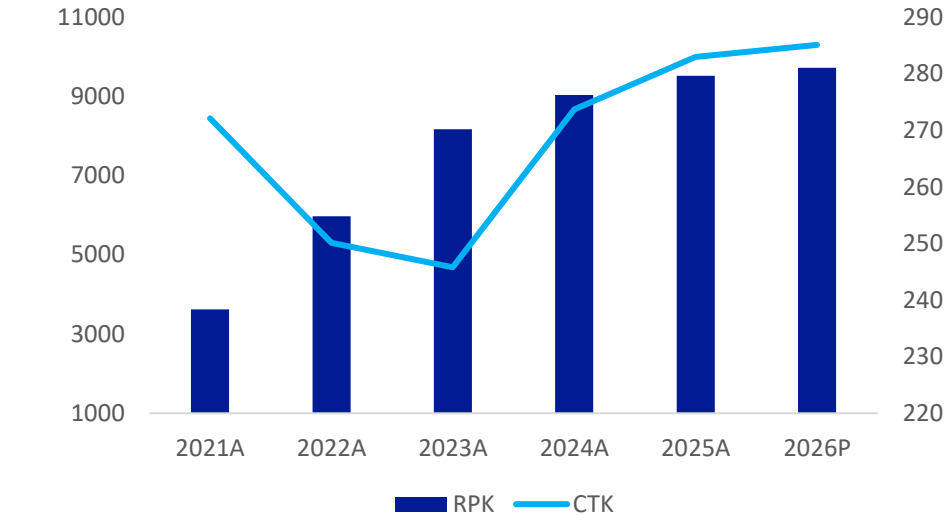
Global Aviation

The global aviation industry continues to show strong long-term growth, supported by rising passenger mobility, increasing disposable incomes and expanding international connectivity. In 2025, commercial airlines carried approximately 5 billion passengers across 38 million flights, reflecting continued expansion in global air travel. Global passenger demand is expected to grow further, although the pace of growth is moderating due to weaker economic conditions and geopolitical disruptions. IATA currently expects global RPK growth of around 2.1% in 2026, with higher fuel prices weighing on passenger demand and airline profitability. Passenger load factors remain strong as airlines continue to maximize aircraft utilization amid limited capacity. Aircraft availability has become a major industry constraint, with supply-chain disruptions, production delays and maintenance backlogs limiting fleet expansion. IATA estimates that the global aircraft order backlog reached approximately 18,100 aircraft in May 2026, equivalent to almost 60% of the active fleet.

Geopolitical tensions and disruptions to major air routes can further increase fuel costs and affect passenger demand. Sustainability is also becoming increasingly important, with airlines facing pressure to reduce emissions and adopt more fuel-efficient aircraft. Despite these near-term challenges, the long-term outlook remains positive. IATA expects global air travel demand to more than double by 2050, reaching 20.8 trillion RPK under its base scenario. ICAO similarly projects global passenger traffic to reach 12.4 billion passengers by 2050, highlighting the industry's significant long-term growth potential. Overall, global aviation presents attractive structural growth opportunities, while fuel costs, aircraft shortages, geopolitical risks and sustainability requirements remain key factors influencing industry performance.

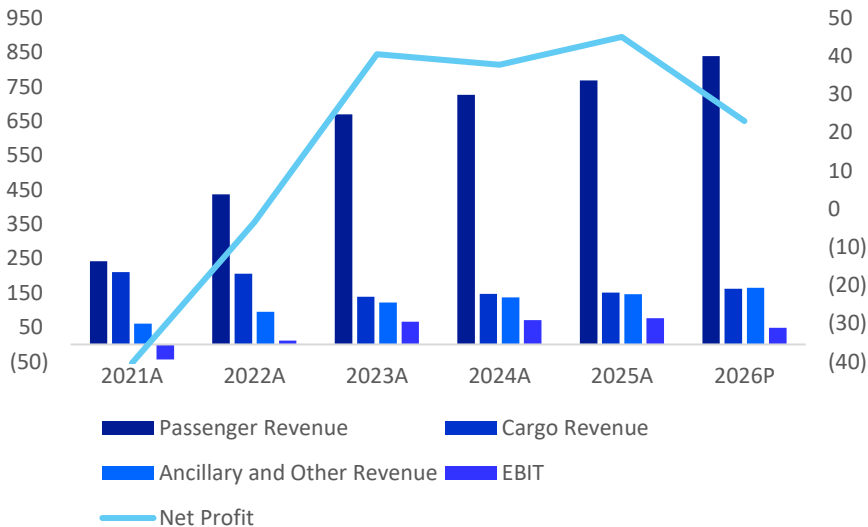
Source: IATA & ICAO

Passenger Traffic and Cargo Metrics (Global)



Source: IATA

Airline financial performance



Source: IATA

Aviation Overview

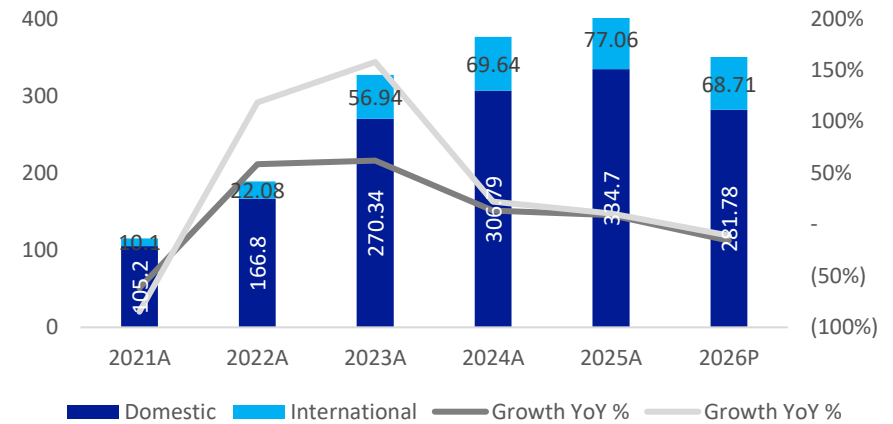
Indian Aviation

India has emerged as the world's third-largest domestic aviation market, supported by rising incomes, urbanization, tourism and increasing air-travel penetration. The number of airports in the country increased from 74 in 2014 to 164 in 2025, reflecting significant investment in aviation infrastructure. Domestic passenger demand continues to remain strong, supported by expanding connectivity and increasing affordability of air travel. As of July 2026, India had 165 operational airports, including 36 international airports, further strengthening the country's aviation network. The UDAN regional connectivity scheme has also expanded air connectivity to smaller cities, with 95 airports, 677 routes and around 168 lakh passengers covered as of June 2026. IndiGo remains the dominant airline in the Indian market, accounting for approximately 53.4% of scheduled seat capacity in 2024, significantly ahead of other carriers. The industry is increasingly concentrated around IndiGo and the Air India group, while Akasa Air and other carriers continue to add capacity.

However, aircraft supply constraints, ATF prices, currency movements and geopolitical disruptions remain important challenges. Strong passenger demand combined with airport expansion and low air-travel penetration provides significant long-term growth potential. For IndiGo, these structural trends create opportunities to expand its domestic network, increase international connectivity and improve aircraft utilization. Overall, India's aviation sector is positioned for sustained growth, although capacity availability and cost pressures will remain important factors affecting industry profitability.

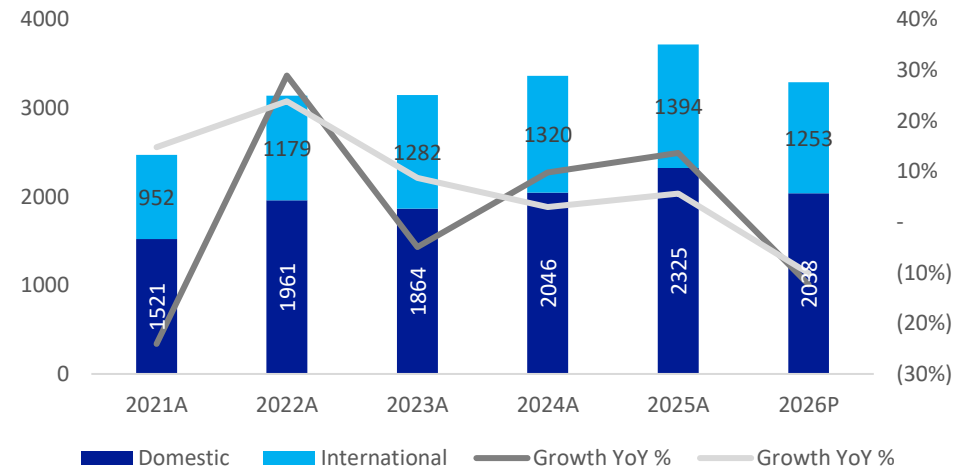
Source: Civil Aviation Authority of India & IATA

International and Domestic passenger traffic (million)



Source: IBEF

International & Domestic freight traffic (MT)



Source: IBEF

InterGlobe Aviation Ltd. – Growth Story

Demand Growth

IndiGo's passenger demand has remained resilient despite a challenging operating environment. In FY26, passenger traffic grew by approximately 4%, with the airline serving more than 123 million passengers, the highest in its history. Capacity, measured by ASK, increased by 9.5%, while RPK grew by 7.5%, indicating continued underlying demand despite the pressure on the aviation industry.

The resilience continued into Q1 FY27, with IndiGo serving 31.3 million passengers, representing approximately 1% year-on-year growth. Despite a 1.3% decline in load factor, yield increased by 21.3%, while total income reached approximately ₹256 billion, up around 19% YoY. This indicates that passenger demand has remained relatively stable even amid a volatile operating environment, providing a supportive base for IndiGo's future capacity and revenue growth.

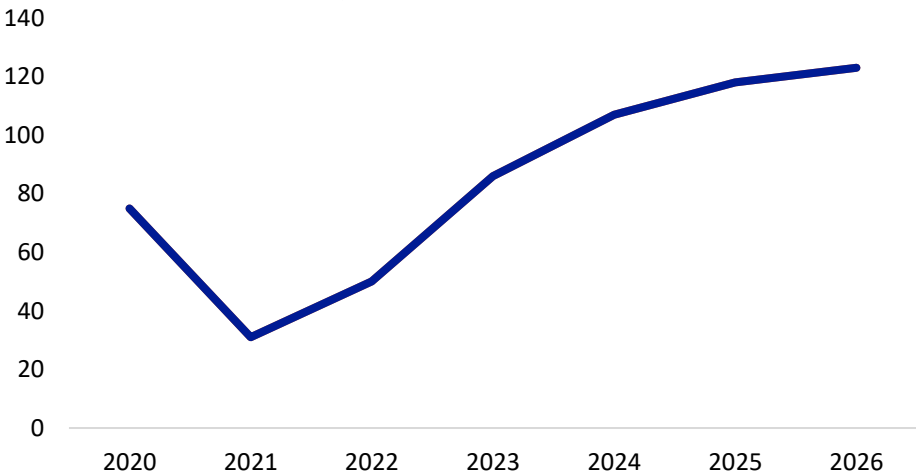
For the valuation, sustained passenger demand is an important driver as continued growth in air travel, combined with IndiGo's expanding capacity, provides scope for further RPK and revenue growth over the forecast period.

Capacity Growth

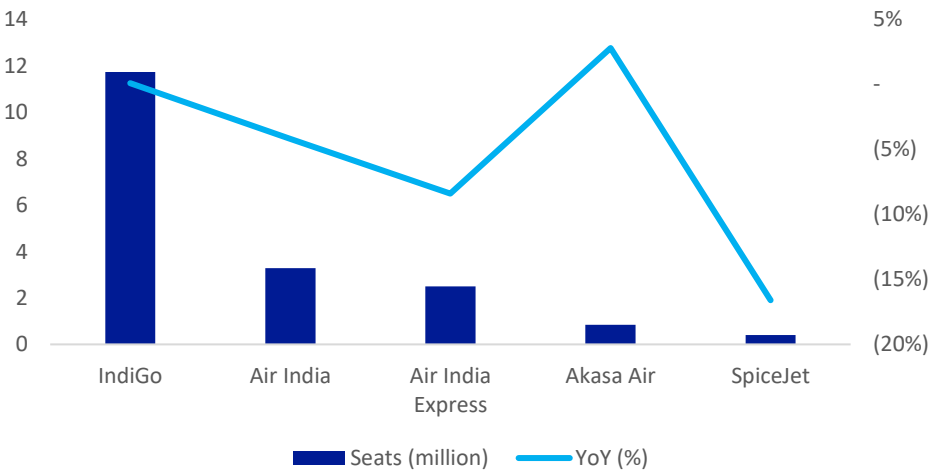
IndiGo's capacity growth remains a key driver of its medium-term expansion. Capacity increased by 3% YoY in Q1 FY27, broadly in line with management's 3–4% guidance, despite geopolitical and airspace-related disruptions. The airline actively redeployed capacity toward markets where demand remained stronger, helping maintain network efficiency.

As international constraints ease, particularly in the Middle East, capacity deployment could accelerate, supporting further ASK, passenger and revenue growth.

Passenger Demand Growth (million)



Seat Capacity Growth



InterGlobe Aviation Ltd. – Growth Story

Network Expansion

IndiGo's network continues to expand, with 97 domestic and 45 international destinations at FY26-end. The airline is strengthening its domestic network, including newer and underserved airports, while expanding internationally into new regions such as Reunion Island and Shanghai. Domestic and short-haul operations remain the core of the business, supported by its A320/A321 fleet, while international expansion provides an additional growth avenue.

In May 2026, IndiGo carried over 10 million domestic passengers in a single month, its highest ever, highlighting the strength and reach of its network.

Yield Expansion

IndiGo's revenue growth is increasingly supported by yield improvement alongside passenger growth. In Q1 FY27, yield increased by 21.3% YoY, while passenger traffic grew approximately 1% YoY to 31.3 million. This indicates that revenue growth was not solely dependent on higher passenger volumes. Total income reached approximately ₹256 billion in Q1 FY27, up 19% YoY, highlighting the impact of stronger yields despite a volatile operating environment.

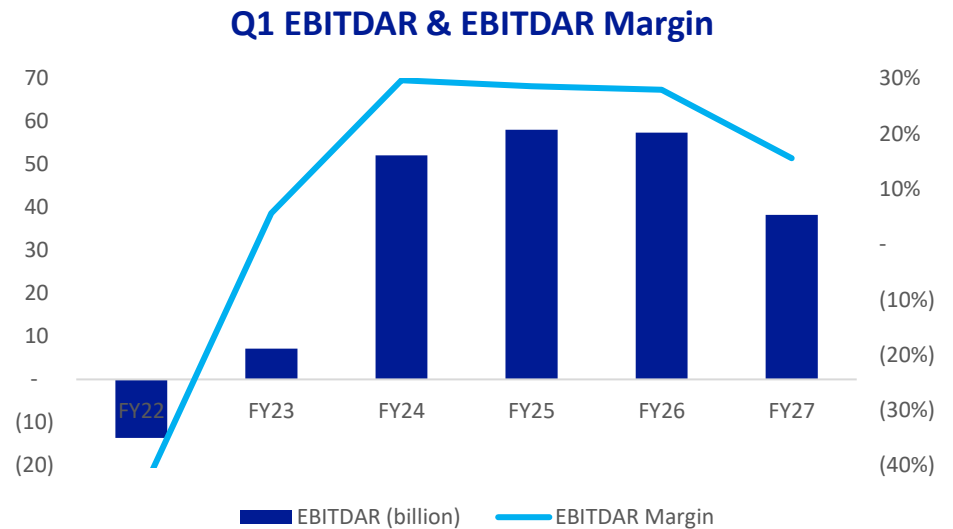
Going forward, continued yield improvement, supported by network optimization, international expansion and ancillary revenue, can provide an additional driver of revenue growth beyond passenger volumes.

Profitability

A challenging operating environment impacted IndiGo's Q1 FY27 profitability. EBITDAR declined to ₹38.3 billion, with the margin falling to 15.6% from 28.0% in the same quarter last year. The airline reported a net loss of ₹2.4 billion, compared with a ₹21.8 billion profit in the prior-year period.

Excluding the impact of currency movements, the net loss was approximately ₹56 million, indicating that foreign-exchange volatility was a major contributor to the reported loss.

While near-term margins remain under pressure, IndiGo's ability to optimize capacity, improve yields and maintain cost discipline will be important for margin recovery as operating conditions normalize.



Financials

Revenue

IndiGo's revenue from operations increased from ₹808.0bn in FY25 to ₹849.6bn in FY26, while total income reached ₹895.1bn, up 6.4% YoY. Passenger traffic increased 4.0% to 123.4 million, supported by 9.5% ASK growth.

In Q1 FY27, revenue from operations grew 19.9% YoY to ₹245.8bn. Passenger ticket revenue increased 23.0%, while ancillary revenue grew 13.9%. Yield also increased 21.3%, showing stronger revenue generation despite passenger growth of around 1%.

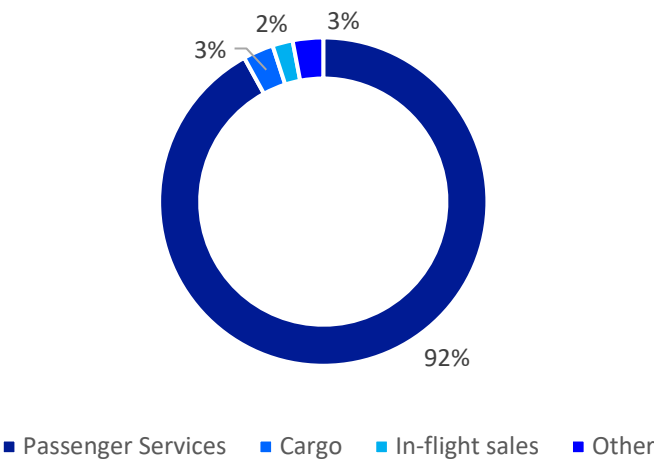
Going forward, revenue growth is expected to be supported by higher passenger volumes, capacity expansion, yield improvement, ancillary services, cargo and other operating revenue. Continued network expansion and international growth should provide additional capacity and revenue opportunities.

Based on these factors, revenue is projected to grow at approximately 19.8% CAGR over the forecast period. The assumption reflects continued passenger demand, higher capacity deployment and stronger monetization across IndiGo's revenue streams.

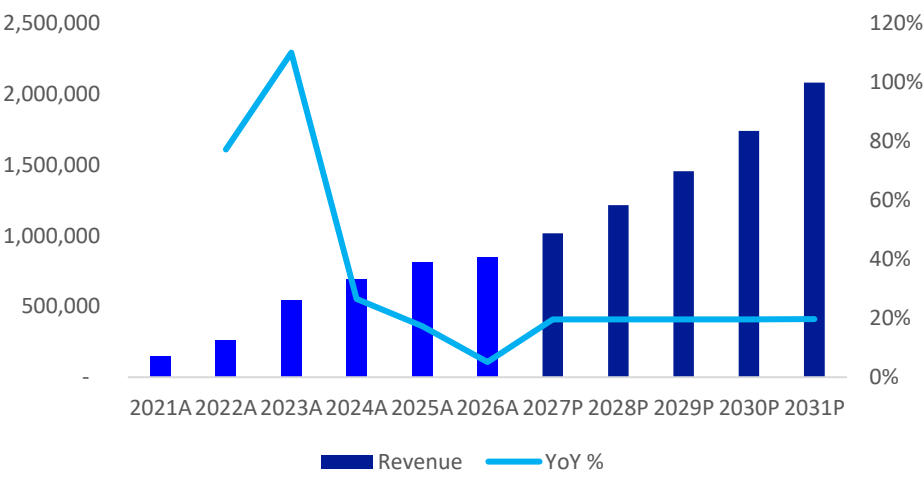
Passenger services are expected to remain the primary contributor to revenue growth, given their significant share of IndiGo's overall revenue. Growth in passenger traffic, combined with improved yields and increasing capacity, should support the expansion of the core passenger revenue base. At the same time, cargo, in-flight sales, ancillary services and other operating revenue are expected to provide additional support to the top line.

Overall, the revenue outlook remains linked to the recovery in air travel demand, IndiGo's expanding network and fleet, and its ability to maintain yields while deploying capacity efficiently. These factors provide the basis for continued revenue growth throughout the forecast period.

Revenue Drivers



Revenue Growth



Financials

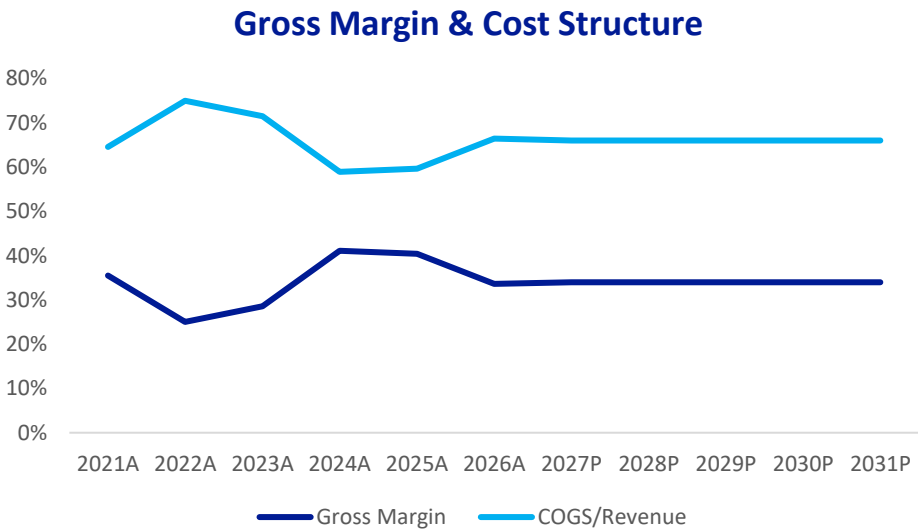
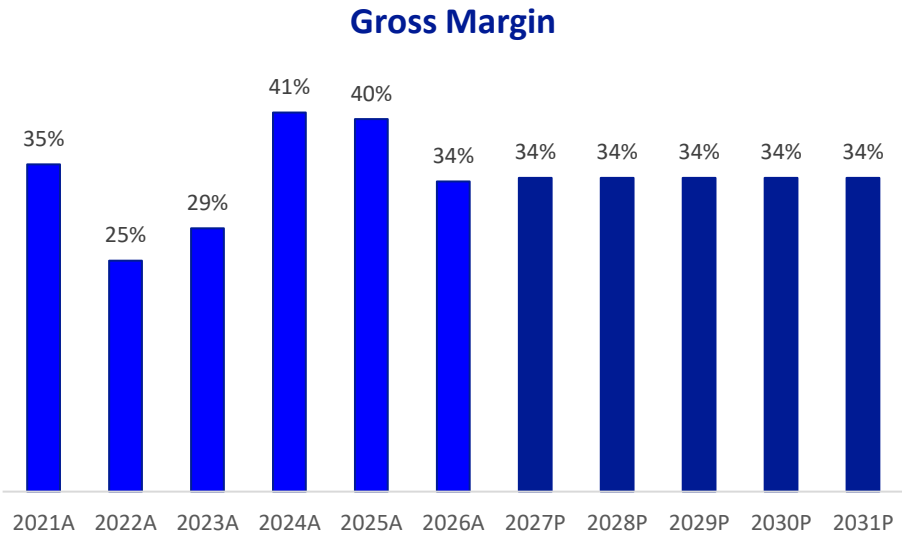
Gross Margin

IndiGo's gross margin has remained volatile over the historical period, reflecting changes in operating conditions, fuel costs, passenger demand and capacity utilization. The margin stood at 35% in FY21, declined to 25% in FY22 and recovered to 29% in FY23 as air travel demand and operations improved. The sharp improvement to 41% in FY24 and 40% in FY25 reflects the stronger recovery in passenger traffic, improved capacity utilization and better revenue generation as the aviation market normalized.

In FY26, gross margin moderated to 34%, reflecting a more challenging operating environment despite continued revenue growth. Higher operating costs, capacity-related expenses, foreign-exchange movements, and disruptions on certain international routes put pressure on margins. However, the margin remained above the FY22–FY23 levels, indicating that the underlying business economics have remained stronger than during the earlier recovery period.

For the forecast period, gross margin is maintained at approximately 34% from FY27P to FY31P. This reflects a balanced outlook where continued passenger growth, capacity expansion, network optimization and yield improvement are expected to support revenue. At the same time, fuel prices, aircraft-related costs and other operating expenses are likely to limit significant margin expansion.

The stable forecast margin assumes that IndiGo can maintain its cost efficiency as the fleet and network expand, while avoiding a major deterioration in operating costs. Therefore, the forecast does not assume aggressive margin expansion and instead reflects a steady profitability profile supported by revenue growth and operational efficiency.



Financials

EBITDA Margin

IndiGo's EBITDA margin is expected to moderate from 15% in FY27P to 12% in FY28P and 10% by FY30P–FY31P, reflecting a gradual normalization of profitability from the elevated levels seen historically. The company's EBITDA growth has already moderated, with a 5-year CAGR of 11.7% and a 3-year CAGR of 4.5%, indicating that earnings growth has not kept pace with the stronger recovery in revenue.

Q1 FY27 also highlights the pressure on operating profitability. While revenue from operations increased 19.9% YoY, EBITDA margin stood at approximately 13.3%, significantly below the historical 25–28% levels. Aircraft fuel expenses increased 85.7% YoY, while CASK excluding fuel and FX also increased 10.7%, showing that cost pressure extended beyond fuel.

(Source: Business Standard)

The forecast therefore assumes that EBITDA margins gradually settle at 10%, rather than returning to the historical 25–28% range. This reflects continued fuel-price and FX sensitivity, higher aircraft maintenance and employee costs, and additional costs associated with fleet and international network expansion. At the same time, the gradual decline rather than an immediate drop assumes that passenger growth, higher yields and capacity expansion provide some operating support.

The logic behind your assumption

Depreciation & Amortization

IndiGo's depreciation and amortization expense has increased significantly alongside the expansion of its fleet and operating asset base. D&A increased from approximately ₹47.0bn in FY21 to ₹108.1bn in FY26, reflecting higher investment in aircraft, equipment and right-of-use assets.

For the forecast period, D&A is expected to continue increasing as IndiGo expands its fleet and network, resulting in a larger depreciable asset base.

EBITDA & EBITDA Margin Trend



The model forecasts D&A to rise from ₹118.6bn in FY27E to ₹166.9bn by FY31E.

The forecast includes depreciation on Property, Plant & Equipment (PM&E) and Right-of-Use (ROU) assets, while intangible asset amortization is kept at zero due to the absence of a forecast intangible asset balance. For modelling purposes, a 15-year useful life is assumed for both PM&E and ROU assets to provide a consistent basis for the forecast.

EBIT

IndiGo's EBIT is projected to recover from ₹11.8bn in FY26A to ₹41.1bn by FY31E, following significant pressure on profitability in FY26. The 28.4% 5-year CAGR reflects the strong recovery from the low FY26 base. However, the 3-year CAGR of 7.8% (FY28–FY31) indicates near-term volatility, with EBIT declining before recovering toward FY31. Overall, the forecast reflects a gradual recovery in operating profitability rather than an immediate return to FY24–FY25 levels.

Financials

Net Income & Profitability

IndiGo's net income has shown significant volatility over the historical period, reflecting the cyclical nature of the airline industry and the impact of fuel prices, foreign exchange and exceptional items. Net income moved from losses of ₹58.1bn in FY21 and ₹61.6bn in FY22 to a near break-even loss of ₹3.1bn in FY23, before recovering strongly to ₹81.7bn in FY24 and ₹72.6bn in FY25.

FY26 marked a sharp reversal, with reported net income turning into a loss of ₹23.9bn, compared with a profit of ₹72.6bn in FY25. The reported loss was significantly affected by foreign exchange movements and exceptional items. Importantly, excluding these effects, IndiGo reported an underlying net profit of ₹75.0bn, despite the challenging operating environment. Total income reached a record ₹895.1bn, while capacity increased 9.5% during the year.

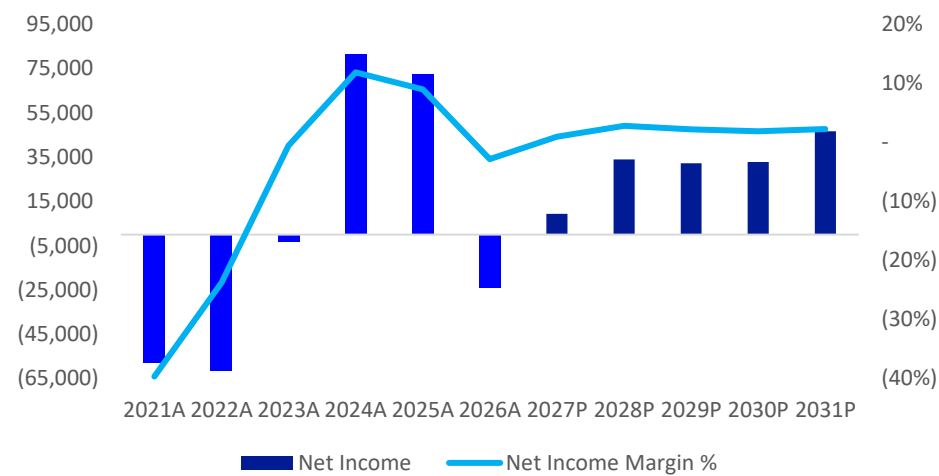
(Source: IndiGo)

For the forecast period, net income is projected to recover gradually, increasing from ₹9.4bn in FY27P to ₹46.7bn by FY31P. The forecast assumes a steady net income margin, reflecting the expectation that revenue growth will support earnings recovery while higher operating costs, fuel-price volatility, foreign exchange movements and fleet-related expenses continue to limit significant margin expansion.

The FY27P net income margin of 0.9% remains conservative following the FY26 reported loss. As profitability normalizes, the margin improves gradually to approximately 2.8% in FY28P, before settling around 2.2% by FY31P. This assumes that IndiGo benefits from stronger revenue, capacity deployment and network expansion without returning immediately to the unusually high profitability levels seen in FY24–FY25.

Overall, the forecast reflects a recovery in net income rather than a rapid return to historical profitability. The key drivers are continued revenue growth, improved capacity utilization and network expansion, while the steady margin assumption provides a balanced view of the cost and risk factors affecting an airline business.

Net Income & Net Margin Trend



Inventory

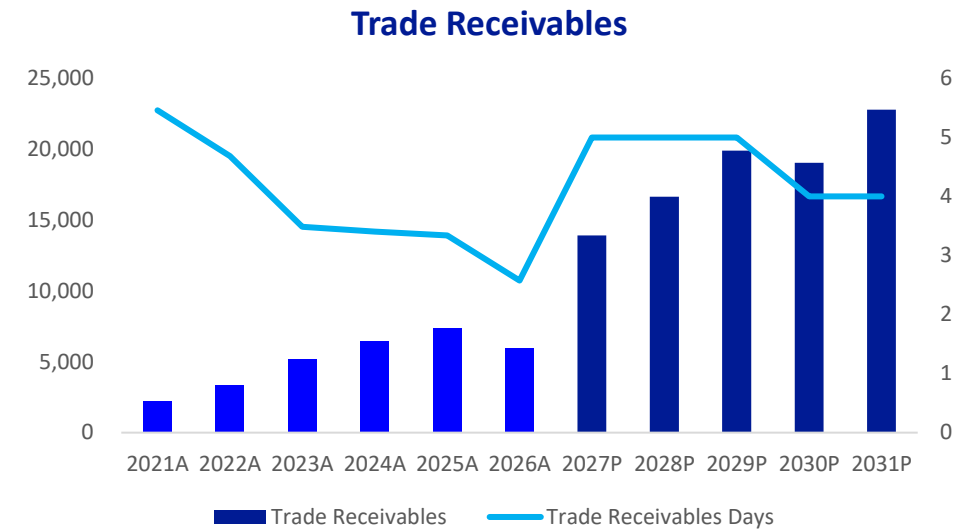
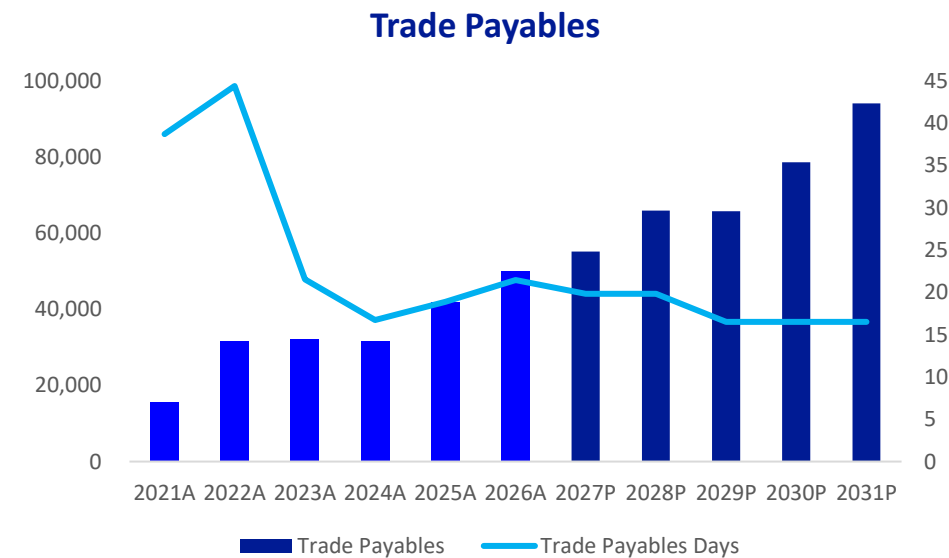
IndiGo's inventory increased from ₹9.8bn in FY26 to ₹22.6bn by FY31P, reflecting the expected expansion in operations. The increase is mainly linked to the growing scale of the business and higher operating requirements. Inventory days remain stable at around 6 days throughout the forecast period. This indicates that inventory is expected to grow broadly in line with the company's operating activity while maintaining efficient inventory management.

Financials

Trade Receivables

The trade receivables profile indicates a significant increase in outstanding customer balances over the historical and forecast period. Trade receivables increase from ₹21.8bn in 2021 to ₹73.9bn in 2025, before declining to ₹5,996.00 crore in 2026. From 2027 onward, receivables are projected to increase steadily, reaching ₹227.9bn crore by 2031. This represents an approximately 5-year CAGR of 30.6% and a 3-year CAGR of 11.1%, reflecting the expected expansion in the company’s revenue base and operating scale.

The debtor days remain relatively low throughout the period, moving from 5 days in 2021–2022 to 3 days during 2023–2026. This suggests that the company historically maintained a highly efficient collection cycle, with only a small portion of annual revenue remaining tied up in trade receivables. From 2027 onward, debtor days are assumed to increase to 5 days, before moderating to 4 days in 2030–2031.



Trade Payables

Trade payables increase from ₹155.13bn in 2021 to ₹417.6bn in 2025 and further to ₹417.6bn in 2026. In the forecast period, trade payables are projected to reach ₹940.2bn by 2031. This reflects a 5-year CAGR of 13.5% and a 3-year CAGR of 12.6%, indicating steady growth in supplier obligations alongside the expansion of the business.

Historically, trade payable days were relatively high at 39–44 days in 2021–2022 but declined significantly to 22 days in 2023 and 17 days in 2024. This suggests that the company has gradually reduced the time taken to settle supplier obligations.

For the forecast period, trade payable days are assumed to be 19–21 days in 2025–2026, 20 days during 2027–2029, and 17 days in 2030–2031. These assumptions remain broadly consistent with the recent historical trend while allowing for the company’s increasing operating scale.

Financials

Financial Liabilities & Lease Obligations

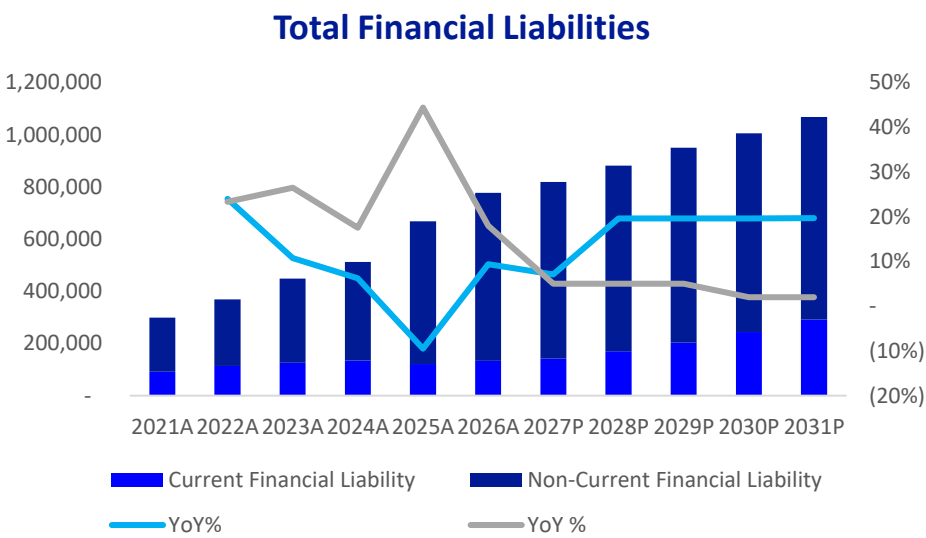
IndiGo operates with a capital-intensive, lease-heavy balance sheet, with aircraft leases making up a significant share of its financial liabilities. The company's total financial liabilities, including current and non-current obligations, rose from ₹298.6 bn in FY2021 to ₹668.1 bn in FY2025, reflecting fleet and operating expansion. The increase becomes more pronounced in the forecast period, with total financial liabilities reaching ₹777.5 bn in FY2026 and projected to rise to ₹1,067.7 bn by FY2031. This represents a 5-year CAGR of 6.5% (2026-2031) and a 3-year CAGR of 6.6% (2028-2031) in total financial liabilities.

For the forecast period, total financial liabilities are projected to increase from ₹777.5 bn in FY2026 to ₹1,067.7 bn by FY2031. This increase is mainly driven by the expected growth in the airline's operations and fleet capacity. As IndiGo expands its network and adds aircraft to support higher passenger demand, additional lease commitments are expected to arise. Therefore, the increase in liabilities is broadly aligned with the expected expansion of the business rather than being assumed as an aggressive increase in financial leverage.

Current financial liabilities are projected to increase from ₹132.8 bn in FY2026 to ₹291.2 bn by FY2031. The higher growth reflects the portion of lease and other financial obligations that are expected to become payable within the next twelve months. As the overall lease base increases, a larger amount of existing obligations is expected to move from non-current to current liabilities.

Non-current financial liabilities, on the other hand, are projected to increase from ₹644.7 bn in FY2026 to ₹776.5 bn by FY2031. The relatively slower growth compared with current liabilities reflects the gradual maturity of existing lease obligations, with some liabilities shifting into the current portion over time. This explains why the growth in non-current liabilities moderates during the forecast period while current liabilities increase at a faster rate.

Overall, the assumptions reflect a gradual increase in financial liabilities rather than a sharp increase in leverage. The forecast is consistent with IndiGo's expansion strategy and its reliance on leased aircraft. The projected increase in liabilities should therefore be viewed alongside the expected growth in revenue, EBITDA and operating cash flows, which will determine the company's ability to service these obligations.



Financials

Income Statement

In INR Crores unless stated otherwise

	Actual						Explicit Forecast Period				
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
Income Statement											
Revenue	146,406.31	259,309.27	544,464.53	689,043.00	808,029.00	849,619.00	1,015,783.43	1,214,721.55	1,452,929.07	1,738,192.83	2,079,847.93
Less: Cost of Goods Sold	(94,483.34)	(194,408.44)	(389,093.90)	(405,950.00)	(481,803.00)	(564,048.00)	(670,417.06)	(801,716.23)	(958,933.19)	(1,147,207.27)	(1,372,699.63)
Gross Profit	51,922.97	64,900.83	155,370.63	283,093.00	326,226.00	285,571.00	345,366.37	413,005.33	493,995.88	590,985.56	707,148.30
Gross Margin % Revenue	35.5%	25.0%	28.5%	41.1%	40.4%	33.6%	34.0%	34.0%	34.0%	34.0%	34.0%
Less: SG&A (Excluding Depreciation and Amortization)											
Employee Benefit Expenses	32,954.92	34,864.43	47,947.52	64,618.00	74,725.00	82,722.00	101,578.34	121,472.16	188,880.78	260,728.92	311,977.19
Other Expenses	19,104.10	24,563.07	42,469.61	55,300.00	70,918.00	83,015.00	91,420.51	109,324.94	130,763.62	156,437.35	187,186.31
Total SG&A	(52,059.02)	(59,427.50)	(90,417.13)	(119,918.00)	(145,643.00)	(165,737.00)	(192,998.85)	(230,797.10)	(319,644.40)	(417,166.28)	(499,163.50)
EBITDA	(136.05)	5,473.33	64,953.50	163,175.00	180,583.00	119,834.00	152,367.51	182,208.23	174,351.49	173,819.28	207,984.79
EBITDA Margin	(0.1%)	2.1%	11.9%	23.7%	22.3%	14.1%	15.0%	15.0%	12.0%	10.0%	10.0%
Less: Depreciation and Amortization											
Depreciation	(46,994.46)	(50,686.00)	(51,029.69)	(64,257.00)	(86,802.00)	(108,082.00)	(118,578.14)	(129,756.23)	(141,566.24)	(153,969.32)	(166,907.02)
EBIT	(47,130.51)	(45,212.67)	13,923.81	98,918.00	93,781.00	11,752.00	33,789.38	52,452.00	32,785.25	19,849.96	41,077.78
EBIT Margin	(32.2%)	(17.4%)	2.6%	14.4%	11.6%	1.4%	3.3%	4.3%	2.3%	1.1%	2.0%
Less: Interest Expenses											
Finance Cost	21,419.83	23,580.15	31,317.31	41,693.54	50,800.00	58,908.00	63,865.68	67,999.93	91,529.25	97,716.84	103,612.85
Exceptional Items	-	-	-	-	-	17,964.00	-	-	-	-	-
Add: Other Income	10,369.64	7,255.98	14,349.65	23,269.00	32,953.00	45,515.00	42,662.90	60,736.08	101,705.04	121,673.50	124,790.88
EBT	(58,180.70)	(61,536.84)	(3,043.85)	80,493.46	75,934.00	(19,605.00)	12,586.60	45,188.15	42,961.03	43,806.62	62,255.80
Less: Taxes	(116.43)	81.61	14.04	(1,232.00)	3,350.00	4,331.00	(3,146.65)	(11,297.04)	(10,740.26)	(10,951.65)	(15,563.95)
Net Income	(58,064.27)	(61,618.45)	(3,057.89)	81,725.46	72,584.00	(23,936.00)	9,439.95	33,891.11	32,220.77	32,854.96	46,691.85

Financials

Balance Sheet

In INR Crores unless stated otherwise

	Actual						Explicit Forecast Period				
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
Balance Sheet											
Assets											
Cash	5,088.85	10,153.29	12,679.69	6,953.00	10,731.00	13,239.00	12,850.01	75,594.01	30,667.14	7,441.86	19,363.64
Bank balances other than cash and cash equivalents, above	107,187.80	91,048.12	105,717.16	160,253.00	178,898.00	226,754.00	231,046.12	230,454.43	232,691.28	233,523.05	234,055.83
Inventory	3,164.18	4,080.63	5,910.67	6,248.00	8,203.00	9,848.00	11,020.55	13,178.90	15,763.29	18,858.20	22,564.93
Trade Receivables	2,189.78	3,329.23	5,199.04	6,425.00	7,397.00	5,996.00	13,914.84	16,640.02	19,903.14	19,048.69	22,792.85
Prepaid Expenses	390.93	632.38	669.73	1,029.00	2,138.00	3,399.00	4,692.92	5,612.01	6,712.53	8,030.45	9,608.90
Financial Current Assets	80,872.96	84,345.82	125,977.96	172,993.00	283,615.00	305,385.00	355,524.20	425,152.54	508,525.18	608,367.49	727,946.78
Other Current Assets	9,244.67	8,699.32	5,332.89	4,630.00	16,049.00	14,671.00	30,473.50	36,441.65	43,587.87	52,145.78	62,395.44
Total Current Assets	208,139.17	202,288.79	261,487.14	358,531.00	507,031.00	579,292.00	659,522.15	803,073.57	857,850.42	947,415.52	1,098,728.36
Plant, Machinery and Equipment	7,969.66	8,239.53	11,111.69	19,029.00	26,779.00	110,871.00	117,767.33	124,424.94	130,673.22	136,305.67	141,074.48
Right of use assets	179,861.71	204,381.48	265,364.95	342,023.00	490,739.00	520,540.00	552,918.29	584,175.85	613,511.53	639,955.94	662,345.52
Capital Work In Progress	663.51	1,193.18	-	1.00	7.00	387.00	-	-	-	-	-
Other Non-Current Assets	9,498.13	12,266.99	14,971.32	19,161.00	24,169.00	38,373.00	42,210.30	46,431.33	51,074.46	56,181.91	61,800.10
Financial Assets	15,823.74	20,911.34	24,500.34	62,711.00	88,116.00	90,417.00	99,458.70	109,404.57	119,250.98	128,791.06	139,094.34
Deferred Tax	3,026.93	2,949.44	2,949.44	4,192.00	4,192.00	-	-	-	-	-	-
Income Tax	5,139.53	7,119.22	10,997.87	16,101.00	17,080.00	19,775.00	24,718.75	30,898.44	38,623.05	48,278.81	60,348.51
Intangible Non-Current Asset - Amount Spend	334.96	215.62	107.27	483.00	299.00	160.00	160.00	160.00	160.00	160.00	159.99
Intangible Non-Current Asset - Under Development	54.19	60.39	208.17	13.00	23.00	206.00	206.00	206.00	206.00	206.00	206.00
Total Non-Current Assets	222,372.36	257,337.19	330,211.05	463,714.00	651,404.00	780,729.00	837,439.36	895,701.12	953,499.23	1,009,879.38	1,065,028.95
Total Assets	430,511.53	459,625.98	591,698.19	822,245.00	1,158,435.00	1,360,021.00	1,496,961.51	1,698,774.69	1,811,349.65	1,957,294.90	2,163,757.31
Liability and Shareholder's Equity											
Trade Payables	15,513.29	31,518.20	32,089.89	31,576.00	41,756.00	49,905.00	55,102.77	65,894.48	65,680.36	78,575.84	94,020.52
Provision	30.76	30.76	30.76	5,890.00	17,468.00	26,210.00	30,473.50	36,441.65	43,587.87	34,763.86	41,596.96
Other Current Liability	16,083.58	7,602.76	2,896.50	65,334.00	83,727.00	87,657.00	96,422.70	104,136.52	112,467.44	121,464.83	131,182.02
Financial Liability	91,974.92	114,030.07	126,296.04	134,166.00	121,415.00	132,787.00	142,209.68	170,061.02	203,410.07	243,347.00	291,178.71
Current tax liabilities (net)	17,923.74	33,584.98	50,820.64	31.00	31.00	43.00	43.00	43.00	43.00	43.00	43.00
Deferred incentives	476.03	476.04	476.04	476.00	258.00	48.00	43.00	43.00	43.00	43.00	43.00
Other financial liabilities	47,234.60	36,928.59	25,901.59	70,509.00	77,523.00	86,060.00	91,420.51	109,324.94	116,234.33	139,055.43	166,387.83
Total Current Liability	189,236.92	224,171.40	238,511.46	307,982.00	342,178.00	382,710.00	415,715.16	485,944.60	541,466.06	617,292.95	724,452.04
Financial liabilities	206,621.62	254,748.30	322,246.09	378,635.00	546,683.00	644,705.00	676,940.25	710,787.26	746,326.63	761,253.16	776,478.22
Other financial liabilities	26,049.29	33,093.00	78,811.10	92,343.00	151,192.00	229,111.00	284,419.36	340,122.04	319,644.40	330,256.64	353,574.15
Provisions	5,522.94	5,896.88	13,364.54	22,301.00	24,079.00	33,100.00	39,720.00	47,664.00	57,196.80	68,636.16	82,363.39
Other non-current liabilities	241.90	342.79	451.97	717.00	573.00	521.00	1,015.78	1,214.72	1,452.93	1,738.19	2,079.85
Non controlling interest	-	-	-	-	-	163.00	-	-	-	-	-
Deferred incentives	1,730.27	1,254.23	778.19	302.00	48.00	-	-	-	-	-	-
Total Non-Current Liability	240,166.02	295,335.20	415,651.89	494,298.00	722,575.00	907,600.00	1,002,095.39	1,099,788.02	1,124,620.75	1,161,884.15	1,214,495.61
Equity share capital	3,849.10	3,852.55	3,855.47	3,860.00	3,864.00	3,866.00	3,866.00	3,866.00	3,866.00	3,866.00	3,866.00
Other equity	(2,740.51)	(63,733.17)	(66,320.63)	16,105.00	89,818.00	65,845.00	75,284.95	109,176.07	141,396.84	174,251.80	220,943.65
Total Shareholder's Equity	1,108.59	(59,880.62)	(62,465.16)	19,965.00	93,682.00	69,711.00	79,150.95	113,042.07	145,262.84	178,117.80	224,809.65
Total Liability and Shareholder's Equity	430,511.53	459,625.98	591,698.19	822,245.00	1,158,435.00	1,360,021.00	1,496,961.51	1,698,774.69	1,811,349.65	1,957,294.90	2,163,757.31

Financials

Cash Flow

In INR Crores unless stated otherwise

	Actual						Explicit Forecast Period				
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
Cash Flow Statement											
Earning before tax	(58,180.70)	(61,536.84)	(3,043.85)	80,493.46	75,934.00	(19,605.00)	12,586.60	45,188.15	42,961.03	43,806.62	62,255.80
Depreciation & Amortization	46,994.46	50,686.00	51,029.69	64,257.00	86,802.00	108,082.00	118,578.14	129,756.23	141,566.24	153,969.32	166,907.02
Interest Expenses	20,858.33	23,310.07	31,066.90	41,689.00	50,799.00	58,901.00	63,865.68	67,999.93	91,529.25	97,716.84	103,612.85
Interest Income	(2,443.85)	(2,019.38)	(4,655.34)	(11,583.00)	(15,953.00)	(19,523.00)	(22,749.15)	(26,727.86)	(31,388.81)	(36,857.93)	(43,352.06)
Foreign Exchange	(4,664.75)	7,886.01	30,035.37	8,262.00	17,083.00	93,186.00	93,186.00	93,186.00	-	-	-
Investment Gains/Loss	(4,367.66)	(2,347.26)	(4,605.15)	(9,978.00)	(14,830.00)	(22,734.00)	(22,734.00)	(22,734.00)	-	-	-
Provisions & Impairments	2.92	0.33	67.75	3.00	14.00	263.00	263.00	263.00	-	-	-
Write-offs	748.34	200.46	288.79	704.00	496.00	517.00	517.00	517.00	-	-	-
Gains/loss on assets sales	(22.79)	(757.59)	(11.88)	(16.00)	(19.00)	(17.00)	-	-	-	-	-
Other non-cash adjustment	(3,375.34)	(147.74)	(326.64)	(44.00)	335.00	17,724.00	17,724.00	17,724.00	-	-	-
Redelivery & Overhaul	1.17	-	-	-	-	-	-	-	-	-	-
Operating profit before working capital changes	(4,449.87)	15,274.06	99,845.64	173,787.46	200,661.00	216,794.00	261,237.27	305,172.46	244,667.72	258,634.85	289,423.61
Adjustments for:											
Increase in loan, other financial assets and other assets	(7,554.77)	(4,666.10)	(5,089.59)	(25,342.00)	(42,053.00)	(34,531.00)	(17,096.42)	(6,887.24)	(8,246.74)	(9,875.83)	(11,828.10)
Increase in inventories	(302.90)	(916.45)	(1,830.04)	(337.00)	(1,955.00)	(1,645.00)	(1,172.55)	(2,158.34)	(2,584.39)	(3,094.92)	(3,706.72)
Increase in trade payables, other financial liabilities, other liabilities and provisions	(3,462.49)	14,393.47	40,291.18	70,379.00	90,242.00	55,410.00	23,597.48	42,378.10	22,172.40	35,889.96	59,327.38
Increase in trade receivables	392.63	(1,195.39)	(2,045.11)	(1,197.00)	(1,057.00)	1,239.00	(7,918.84)	(2,725.18)	(3,263.12)	854.45	(3,744.17)
Cash generated from operating activities	(15,377.40)	22,889.59	131,172.08	217,290.46	245,838.00	237,267.00	258,636.94	335,779.80	252,745.87	282,408.52	329,472.00
Income tax paid (net)	(764.14)	(1,983.81)	(3,892.69)	(5,114.00)	(4,325.00)	(2,568.00)	(3,146.65)	(11,297.04)	(10,740.26)	(10,951.65)	(15,563.95)
Net cash generated from operating activities	(16,141.54)	20,905.78	127,279.39	212,176.46	241,513.00	234,699.00	255,490.29	324,482.76	242,005.61	271,456.87	313,908.05
Cash flows from investing activities											
Purchase of mutual funds / equity shares / bonds	(128,822.40)	(202,685.26)	(292,773.41)	(237,939.00)	(226,798.00)	(440,338.00)	(440,338.00)	(440,338.00)	(440,338.00)	(440,338.00)	(440,338.00)
Proceeds from sale of mutual funds / equity shares / bonds	154,787.67	197,361.86	262,858.35	198,244.00	146,584.00	440,465.00	440,465.00	440,465.00	440,465.00	440,465.00	440,465.00
Investment in bank deposits	(99,558.59)	(177,938.44)	(172,651.41)	(217,753.00)	(225,906.00)	(288,526.00)	(288,526.00)	(288,526.00)	(288,526.00)	(288,526.00)	(288,526.00)
Proceeds from maturity of bank deposits	89,567.28	194,766.58	159,316.71	147,875.00	191,233.00	277,995.00	277,995.00	277,995.00	277,995.00	277,995.00	277,995.00
Interest received on bank deposits and bonds	1,366.92	915.50	1,568.31	5,758.00	11,320.00	13,526.00	13,526.00	13,526.00	13,526.00	13,526.00	13,526.00
Major inspection and overhaul costs on leased aircraft (including capital advances and capital creditors)	-	-	-	(9,192.00)	(8,097.00)	(5,617.00)	(5,617.00)	(5,617.00)	(5,617.00)	(5,617.00)	(5,617.00)
Proceeds from sale and leaseback of owned assets (net)	18,833.68	6,006.43	6,740.71	-	-	-	-	-	-	-	-
Purchase of property, plant and equipment and intangible assets (including capital advances and capital creditors)	(4,368.87)	(3,468.81)	(5,698.04)	(11,026.00)	(16,048.00)	(17,101.00)	(27,717.75)	(29,441.83)	(31,106.24)	(32,668.30)	(34,076.42)
Proceeds from sale of property, plant and equipment	164.69	66.65	43.90	5,943.00	119.00	71.00	-	-	-	-	-
Net cash used in investing activities	31,970.38	15,024.51	(40,594.88)	(118,090.00)	(127,593.00)	(19,525.00)	(30,212.75)	(31,936.83)	(33,601.24)	(35,163.30)	(36,571.42)
Cash flows from financing activities											
Repayment of lease liabilities (net of incentives)	(19,967.92)	(24,893.18)	(41,137.71)	(62,422.00)	(69,011.00)	(161,802.00)	(161,802.00)	(161,802.00)	(161,802.00)	(161,802.00)	(161,802.00)
Interest charges paid on lease liabilities	(15,928.23)	(19,518.40)	(26,339.65)	(34,353.00)	(40,384.00)	(47,229.00)	(63,865.68)	(67,999.93)	(91,529.25)	(97,716.84)	(103,612.85)
Proceeds from / (repayment) of short-term borrowings (net)	48,442.04	152,358.54	98,332.44	(2,820.00)	(917.00)	63.00	-	-	-	-	-
Repayment of secured loans	(30,099.91)	(138,645.22)	(115,058.77)	-	-	-	-	-	-	-	-
Interest paid on borrowings	(292.04)	(456.71)	(344.57)	(607.00)	(260.00)	(144.00)	-	-	-	-	-
Final dividend paid	-	-	-	-	-	(3,865.00)	-	-	-	-	-
Securities premium received on account of issue of shares on exercise of stock options	91.55	273.10	220.74	413.00	414.00	37.00	-	-	-	-	-
Proceeds from issue of units of controlled trust to non-controlling interests	-	-	-	-	-	177.00	-	-	-	-	-
Proceeds from issue of shares on exercise of stock options	1.14	3.45	2.92	4.00	4.00	2.00	-	-	-	-	-
Net cash used in financing activities	(17,753.37)	(30,878.42)	(84,324.60)	(99,785.00)	(110,154.00)	(212,761.00)	(225,667.68)	(229,801.93)	(253,331.25)	(259,518.84)	(265,414.85)
Net Change in Cash (A+B+C)	(1,924.53)	5,051.87	2,359.91	(5,698.54)	3,766.00	2,413.00	(390.14)	62,744.00	(44,926.87)	(23,225.28)	11,921.78
Opening Cash Balance	7,190.66	5,088.85	10,153.29	12,679.69	6,954.15	10,732.15	13,240.15	12,850.01	75,594.01	30,667.14	7,441.86
Effect of exchange rate changes on cash and cash equivalents held in foreign currency	(177.28)	12.57	166.49	12.00	95.00	-	-	-	-	-	-
Closing Cash Balance	5,088.85	10,153.29	12,679.69	6,954.15	10,732.15	13,240.15	12,850.01	75,594.01	30,667.14	7,441.86	19,363.64

Valuation

Objective

The objective of the valuation is to estimate the intrinsic value of InterGlobe Aviation Ltd. (IndiGo) by assessing its ability to generate future cash flows, growth and returns. The analysis considers the company's historical financial performance, operating outlook and key assumptions developed through the financial model.

Valuation Methodology

There are primarily three approaches to valuation: Market Approach and Income Approach.

For IndiGo, the most relevant methods are the Discounted Cash Flow (DCF) Method under the Income Approach and the Comparable Companies Method under the Market Approach.

These methods provide complementary perspectives by assessing both the company's fundamental cash-generating ability and its valuation relative to comparable listed airlines.

The approaches considered are:

- Market Approach: Comparable Companies / Relative Valuation Method.
- Income Approach: Discounted Cash Flow (DCF) Method.

Market Approach

Under the Market Approach, IndiGo is valued using trading multiples of selected comparable listed airlines. The comparable companies have been selected based on factors such as business model, geographical presence, scale and operating characteristics.

For the relative valuation, EV/EBITDA has been considered as the primary multiple, as it allows comparison of operating performance while reducing the impact of differences in capital structure, depreciation and financing costs. The selected multiple is applied to IndiGo's relevant EBITDA to arrive at an implied Enterprise Value, which is subsequently adjusted for net debt and other relevant items to derive the implied equity value.

Income Approach

Under the Income Approach, the value of IndiGo is estimated based on the present value of its expected future free cash flows.

The DCF valuation involves the following key steps:

- Forecasting revenue, operating expenses, EBITDA, depreciation, working capital and capital expenditure during the explicit forecast period.
- Calculating Free Cash Flow to Firm (FCFF) based on the forecast financial statements.
- Discounting the projected FCFF using the Weighted Average Cost of Capital (WACC).
- Calculating the Terminal Value using the Exit Multiple method.
- Adding the present value of forecast-period cash flows and terminal value to arrive at Enterprise Value.
- Adjusting for relevant non-operating assets and net debt to arrive at the implied equity value and value per share.

DCF Valuation

In INR million unless stated otherwise

	Actual					Explicit Forecast Period					
	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	FY2027	FY2028	FY2029	FY2030	FY2031
Free Cash Flow to Firm											
EBITDA	(136.05)	5,473.33	64,953.50	163,175.00	180,583.00	119,834.00	152,367.51	182,208.23	174,351.49	173,819.28	207,984.79
Less: Depreciation & Amortization	(46,994.46)	(50,686.00)	(51,029.69)	(64,257.00)	(86,802.00)	(108,082.00)	(118,578.14)	(129,756.23)	(141,566.24)	(153,969.32)	(166,907.02)
EBIT	(47,130.51)	(45,212.67)	13,923.81	98,918.00	93,781.00	11,752.00	33,789.38	52,452.00	32,785.25	19,849.96	41,077.78
Less: Tax	(116.43)	81.61	14.04	(1,232.00)	3,350.00	4,331.00	(3,146.65)	(11,297.04)	(10,740.26)	(10,951.65)	(15,563.95)
EBIT (1-T)	(47,014.08)	(45,294.28)	13,909.77	100,150.00	90,431.00	7,421.00	36,936.03	63,749.04	43,525.50	30,801.61	56,641.73
Add: Depreciation & Amortization	46,994.46	50,686.00	51,029.69	64,257.00	86,802.00	108,082.00	118,578.14	129,756.23	141,566.24	153,969.32	166,907.02
CASH NOPAT	(19.62)	5,391.72	64,939.46	164,407.00	177,233.00	115,503.00	155,514.17	193,505.27	185,091.75	184,770.94	223,548.74
Less: Reinvestments											
Change in Working Capital	10,927.53	(7,615.53)	(31,326.44)	(43,503.00)	(45,177.00)	(20,473.00)	2,600.33	(30,607.34)	(8,078.15)	(23,773.67)	(40,048.39)
Capex during the year	(4,368.87)	(3,468.81)	(5,698.04)	(11,026.00)	(16,048.00)	(17,101.00)	(27,717.75)	(29,441.83)	(31,106.24)	(32,668.30)	(34,076.42)
Free Cash Flow to Firm	6,539.04	(5,692.62)	27,914.98	109,878.00	116,008.00	77,929.00	130,396.75	133,456.10	145,907.36	128,328.97	149,423.93
Discount Period (Year)	Mid Year Conviction?						0.5	1.5	2.5	3.5	4.5
Discount Rate (WACC)	8.0%										
Present Value Factor							0.96	0.89	0.82	0.76	0.71

Present Value of Free Cash Flow to Firm	125,474.33	118,905.73	120,369.87	98,026.06	105,684.98
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DCF Calculation - Perpetuity Growth		DCF Calculation - Exit Multiple	
Perpetuity Growth Rate	3.00%	Exit Multiple	16.00x
Terminal Year FCFF *(1+PGR)	153,906.65	Terminal Year EBITDA	207,984.79
Terminal Value	3,078,133.04	Terminal Value	3,327,756.69
Present Value of Terminal Factor	2,177,110.58	Present Value of Terminal Factor	2,353,665.09
Present Value of FCFFs	568,460.97	Present Value of FCFFs	568,460.97
Enterprise Value	2,745,571.55	Enterprose Value	2,922,126.06
Implied Exit Multiple	14.80x	Implied Exit Multiple	16.00x
Implied EV/EBITDA	13.20x	Implied EV/EBITDA	14.05x
Less: Debt	777,492.00	Less: Debt	777,492.00
Add: Cash	239,993.00	Add: Cash	239,993.00
Add: Non-Operating Assets	139,094.34	Add: Non-Operating Assets	139,094.34
Equity Value	2,347,166.89	Equity Value	2,523,721.40
Less: Value of Options	(142.05)	Less: Value of Options	(142.05)
Equity Value for Shareholders	2,347,024.84	Equity Value for Shareholders	2,523,579.35

Market Price INR
1,97,14,194 Cr.

Intrinsic Value INR
2,347,024.84 Cr.

WACC 8%

Terminal Growth 3%
Exit Multiple 16x

		WACC				
		7%	8%	9%	10%	11%
Terminal Growth %	2%	2,430,904.10	1,966,558.92	1,634,974.57	1,386,359.75	1,193,052.99
	3%	3,020,489.81	2,347,024.84	1,898,109.27	1,577,502.46	1,337,084.41
	4%	4,003,132.66	2,917,723.73	2,266,497.86	1,832,359.41	1,522,267.66
	5%	5,968,418.37	3,868,888.55	2,819,080.75	2,189,159.14	1,769,178.67
	6%	11,864,275.47	5,771,218.17	3,740,052.22	2,724,358.73	2,114,854.08
		WACC				
		7%	8%	9%	10%	11%
Exit Multiple	14x	2,330,261.46	2,229,371.22	2,133,345.84	2,041,906.43	1,954,792.51
	15x	2,483,654.12	2,376,475.28	2,274,473.56	2,177,351.90	2,084,832.87
	16x	2,637,046.78	2,523,579.35	2,415,601.29	2,312,797.38	2,214,873.24
	17x	2,790,439.44	2,670,683.42	2,556,729.01	2,448,242.85	2,344,913.60
	18x	2,943,832.10	2,817,787.49	2,697,856.74	2,583,688.33	2,474,953.96

Relative Valuation

Market Data							Financial Data									Multiples								
							2026A	2027E	2028E	2026A	2027E	2028E	2026A	2027E	2028E	2026A	2027E	2028E	2026A	2027E	2028E	2026A	2027E	2028E
Relative Valuation	Ticker	Share Price	Market Cap.	Debt	Cash	Enterprise Value	Sales	Sales	Sales	EBITDA	EBITDA	EBITDA	PAT	PAT	PAT	EV/Sales	EV/Sales	EV/Sales	EV/EBITDA	EV/EBITDA	EV/EBITDA	Price/Earnings	Price/Earnings	Price/Earnings
Wizz Air Holdings	WIZZ	44.9	21951.0	6400.0	3791.0	24560.0	6602.0	7656.0	8774.2	1350.6	1242.4	1787.6	248.1	(470.6)	65.2	3.72x	3.21x	2.80x	18.18x	19.77x	13.74x	98.98x	(52.19x)	376.67x
Ryanair Holdings	RYA	59.2	30671.6	17240.6	3756.7	44155.5	18031.4	18492.7	19975.2	3216.0	4112.2	19975.2	1869.5	2098.4	2418.6	2.45x	2.39x	2.21x	13.73x	10.74x	2.21x	23.62x	21.04x	18.26x
Singapore Airlines	C6L / SIA	7.1	17400.0	8280.0	6620.0	19060.0	20522.0	22098.0	22312.0	4916.0	4206.0	4606.0	1184.0	753.3	1189.0	0.93x	0.86x	0.85x	3.88x	4.53x	4.14x	16.10x	25.30x	16.03x
High																3.72x	3.21x	2.80x	18.18x	19.77x	13.74x	98.98x	25.30x	376.67x
75th Percentile																3.08	2.80	2.50	15.96	15.25	8.94	61.30	23.17	197.46
Average																2.37x	2.15x	1.95x	11.93x	11.68x	6.70x	46.23x	(1.95x)	136.98x
Median																2.45x	2.39x	2.21x	13.73x	10.74x	4.14x	23.62x	21.04x	18.26x
25th Percentile																1.69	1.63	1.53	8.80	7.63	3.17	19.86	(15.57)	17.14
Low																0.93x	0.86x	0.85x	3.88x	4.53x	2.21x	16.10x	(52.19x)	16.03x

EV/Sales	
Sales	849,619.00
EBITDA	119,834.00
Earnings	(23,936.00)
Valuation Multiples	EV/Sales
EV/Sales	2.45x
Enterprise Value	2,080,558.18
Less: Debt	777,492.00
Add: Cash	239,993.00
Add: Non-Operating Assets	139,094.34
Equity Value	1,682,153.52
Less: Value of Options	(142.05)
Equity Value for Shareholders	1,682,011.47

EV/EBITDA	
Sales	849,619.00
EBITDA	119,834.00
Earnings	(23,936.00)
Valuation Multiples	EV/EBITDA
EV/EBITDA	13.73x
Enterprise Value	1,645,322.30
Less: Debt	777,492.00
Add: Cash	239,993.00
Add: Non-Operating Assets	139,094.34
Equity Value	1,246,917.64
Less: Value of Options	(142.05)
Equity Value for Shareholders	1,246,775.59

P/E	
Sales	849,619.00
EBITDA	119,834.00
Earnings	(23,936.00)
Valuation Multiples	Price/Earnings
Price/Earnings	23.62x
Equity Value	565,354.87
Less: Debt	-
Add: Cash	-
Add: Non-Operating Assets	-
Equity Value	565,354.87
Less: Value of Options	-
Equity Value for Shareholders	565,354.87

Comparable Companies

Company	Ticker	Description
Wizz Air Holdings	WIZZ	Wizz Air Holdings Plc is a European ultra-low-cost airline group headquartered in Budapest, Hungary. The company operates an extensive network across Europe and other international markets, with a strong presence in Central and Eastern Europe. Wizz Air focuses on providing affordable air travel through a low-cost operating model, supported by a young Airbus fleet and a high-density route network. The airline serves numerous destinations across Europe, the Middle East and North Africa, operating from a combination of primary, secondary and regional airports. Wizz Air is focused on maintaining a low-cost base while expanding its network and passenger capacity. The company is listed on the London Stock Exchange under the ticker WIZZ.
Ryanair Holdings	RYAAY	Ryanair Holdings Plc is a European airline group and the parent company of Ryanair, Buzz, Lauda, Malta Air and Ryanair UK. The Group operates primarily under a low-cost airline model and has an extensive network connecting airports across Europe and other international markets. Ryanair focuses on offering low fares while maintaining high aircraft utilization, strong load factors and a cost-efficient operating structure. The Group operates approximately 3,800 daily flights from around 95 bases, connecting more than 220 airports across 35 countries. Its fleet is predominantly based on Boeing 737 aircraft, supporting its low-cost and high-frequency operating model.
Singapore Airlines	C6L	Singapore Airlines Limited is the flag carrier of Singapore and operates a global passenger and cargo air transportation business. The Group provides passenger and cargo air transportation services, supported by complementary businesses including aircraft engineering, pilot training, air charter services, tour activities and loyalty-related services. Singapore Airlines operates an extensive international network connecting Singapore with major destinations across Asia, Europe, the Americas and other regions. The Group follows a full-service airline model, offering premium and economy cabin products across its network. Singapore Airlines is listed on the Singapore Exchange under the ticker C6L and is a subsidiary of Temasek Holdings.

WACC

WACC Inputs	
Country	India
Local Currency 10Yr. Government Bond Yield	6.8%
India's Moodys Sovereign Rating	Baa3
Credit default spread as per Dr. Damodaran	1.0%
Implied US Equity Risk Premium	4.3%
Asset Beta	0.33
Asset Beta Variation (+/-)	0.06
Debt to Equity	11.1x
Debt to Capital (Gearing)	91.8%

Particulars	Low	Mid	High
Risk Free Rate	5.8%	5.8%	5.8%
Equity Risk Premium	5.3%	5.3%	5.3%
Asset Beta	0.27	0.33	0.39
D/E Ratio	11.1x	11.1x	11.1x
Equity Beta	2.4	4.0	4.7
CAPM Cost of Equity	18.4%	27.0%	30.8%

Small-Size Premium	-	-	-
Asset Specific Premium	-	-	-
Modified Cost of Equity	18.4%	27.0%	30.8%

Pre Tax Cost of Debt	7.5%	7.5%	7.5%
Marginal Tax Rate	30.0%	30.0%	30.0%
Post Tax Cost of Debt	5.2%	5.2%	5.2%

Capital Gearing (D/D+E)	91.8%	91.8%	91.8%
Weighted Average Cost of Capital	6.3%	7.0%	7.3%
Weighted Average Cost of Capital (Rounded)	7.0%	8.0%	8.0%

WACC Inputs	
Marginal Tax Rate	30.0%
Company Credit Rating Available?	Yes
Company is non-financial or financial firm?	Non-financial firm
Provide Credit Rating	A1/A+
Interest Coverage Ratio	0.20
ICR-Based Corporate Default Spread	12.6%
Small-Size Premium	-
Asset Specific Risk Premium	-

Risk Free Rate

We have considered 5.8% as the risk-free rate in estimating the cost of equity of IndiGo 27.0% . The risk-free rate of India is calculated by considering local currency 10Yr. Government bond yield adjusted for default spread of India.

Asset Beta

We have estimated an asset beta range of 27.1% to 39.1%, with a midpoint of 33.1% based on observe median of 5-year monthly asset beta of benchmark listed companies adjusted for blume effect.

Equity Risk Premium (ERP)

An ERP of 5.3% has been adopted for IndiGo based on the estimated market risk premium for India. The ERP represents the additional return investors require for investing in equities over the risk-free rate.

Cost of debt

For the purpose of assessing the cost of debt, we have used country's risk-free rate, country's default spread and corporate default spread based on company's debt rating and interest coverage ratio.

Small-Size Premium & Asset Specific Premium

Empirically, small-sized assets have exceeded the returns as compared to large-sized assets. We have used the study on size premium conducted by Incwert which is based on the difference between actual returns and CAPM expected returns arranged in decline basis market capitalization of Indian Companies.

Valuation Summary

Valuation Method	Enterprise Value	Equity Value Available for Shareholders	Number of Equity Share	Equity Value Per Share	Current Market Price	Discount/Premium	Discount/Premium %	Company Status
DCF - Perpetuity Growth	2,745,571.55	2,347,024.84	386.6	6,070.94	5,087.00	983.94 Discount	19.34% Discount	Undervalued
DCF - Exit Multiple	2,922,126.06	2,523,579.35	386.6	6,527.62	5,087.00	1440.62 Discount	28.32% Discount	Undervalued
Relative Valuation - EV/Sales	2,080,558.18	1,682,011.47	386.6	4,350.78	5,087.00	736.22 Premium	14.47% Premium	Overvalued
Relative Valuation - EV/EBITDA	1,645,322.30	1,246,775.59	386.6	3,224.98	5,087.00	1,862.02 Premium	36.60% Premium	Overvalued
Relative Valuation - P/E	-	565,354.87	386.6	1,462.38	5,087.00	3,624.62 Premium	71.25% Premium	Overvalued

Valuation Analysis

IndiGo has been valued using DCF and Relative Valuation approaches. Under DCF, both Perpetuity Growth and Exit Multiple methods indicate an intrinsic value above the current market price of ₹5,087 per share.

The DCF Perpetuity Growth method gives an implied value of ₹6,070.94, indicating 19.34% upside, while the Exit Multiple method gives ₹6,527.62, indicating 28.32% upside. This suggests that the stock is undervalued based on its expected future cash flows.

In contrast, the relative valuation gives a more conservative view. EV/Sales implies ₹4,350.78 per share, EV/EBITDA implies ₹3,224.98, and P/E implies ₹1,462.38, indicating premiums of 14.47%, 36.60%, and 71.25%, respectively, to the current market price.

Overall, the DCF methods suggest potential upside, while relative valuation indicates that the current price already reflects relatively optimistic expectations. Therefore, the DCF valuation provides the stronger indication of intrinsic value, with relative valuation serving as a market-based cross-check.

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Disclaimer

- The valuation and financial analysis in this report are prepared primarily for educational and academic purposes.
- The report is based on publicly available information, historical financial data and assumptions made for modelling purposes.
- The forecasts and valuation outputs are subject to assumptions and may differ from actual future results.
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